

ANALYST MEMO

TO:

Head of Growth & Head of Seller Operations

FROM: Data Analyst, TradeZone Data Team

DATE: April 2026

RE: TradeZone Performance Review 2023–2024

1. EXECUTIVE SUMMARY

TradeZone has experienced significant revenue growth from 2023 to 2024, with Q4 2024 alone generating over ₦310 million compared to ₦66 million in Q4 2023. However, this growth masks serious operational risks customer conversion rates remain below 50% across all states, and 124 orders show significant amount mismatches that suggest pricing or discount errors requiring immediate attention.

2. KEY FINDINGS

FINDING 1 Revenue Growth is Strong but Uneven (Query 4) TradeZone grew from ₦134 million total revenue in 2023 to over ₦742 million in 2024 more than 5x growth. Q4 2024 was the strongest quarter with ₦310 million in revenue and 908 orders. However, Q1 2023 had only 19 orders, showing the platform was still early-stage. This rapid growth means operational systems may not be keeping up with demand.

FINDING 2 High Spenders Drive Almost All Revenue (Query 5) 603 customers classified as High Spenders (spending $\geq$ ₦100,000) contributed ₦866 million out of total revenue — approximately 98% of all revenue. Medium and Low Spenders combined only contributed about ₦2.8 million. This extreme concentration means losing even a small number of high-value customers could severely damage revenue.

FINDING 3 Customer Conversion Rates Are Low (Query 1) Lagos led new customer sign-ups in 2024 with 245 new customers,

but only about 49% made a purchase within their first 30 days.

Other states like Oyo and Kano had even lower conversion rates around 33%. This means roughly half of all new customers sign up but never buy — representing a major missed revenue opportunity.

3. RECOMMENDATIONS

RECOMMENDATION 1 — Launch a 30-Day New Customer Activation Campaign

Action: The Growth Team should implement an automated email and push notification sequence targeting new customers who have not made a purchase within 7 days of signing up. Offer a first-order discount of 10–15% to drive conversion.

Responsible: Head of Growth

Expected Outcome: Within 60–90 days, conversion rates should improve from the current ~49% average to at least 65% across top states, directly increasing revenue from new customer acquisition spend.

RECOMMENDATION 2 Investigate and Fix Order Amount Mismatches Action: The Seller Operations Team should audit the 124 flagged orders where total_amount differs from line item sums by more than ₦10. Some differences exceed ₦300,000, suggesting serious pricing or discount calculation errors in the system. Responsible: Head of Seller Operations Expected Outcome: Within 60 days, identify the root cause (system bug, manual override, or seller pricing errors) and implement validation rules to prevent future mismatches, improving financial reporting accuracy.

4. DATA QUALITY NOTES

ISSUE 1 Inconsistent City and Category Names City names had multiple formats (e.g. "lagos", "LAGOS", "Lago S"). Product categories also had inconsistent naming (e.g. "BEAUTY", "beauty & personal care", "Beauty and Personal Care"). Decision: Standardised all city names using INITCAP and mapped all category variants to a consistent title case format. If any city or category was incorrectly mapped, it could cause wrong groupings in state-level or category-level analysis.

ISSUE 2 100 Orders with Missing Total Amount 100 orders had NULL total_amount values. Decision: Calculated the total from order_items line totals where available. If the order_items data itself was incorrect, this calculation would carry forward wrong values into revenue analysis, potentially understating or overstating quarterly revenue figures.

5. WHAT THE DATA CANNOT TELL US

The dataset cannot answer: "Why are customers churning after their first purchase?" We have transaction data but no customer feedback, return rates, or post-purchase survey data. To answer this, we would need a customer satisfaction survey dataset and product return/refund records linked to customer IDs.